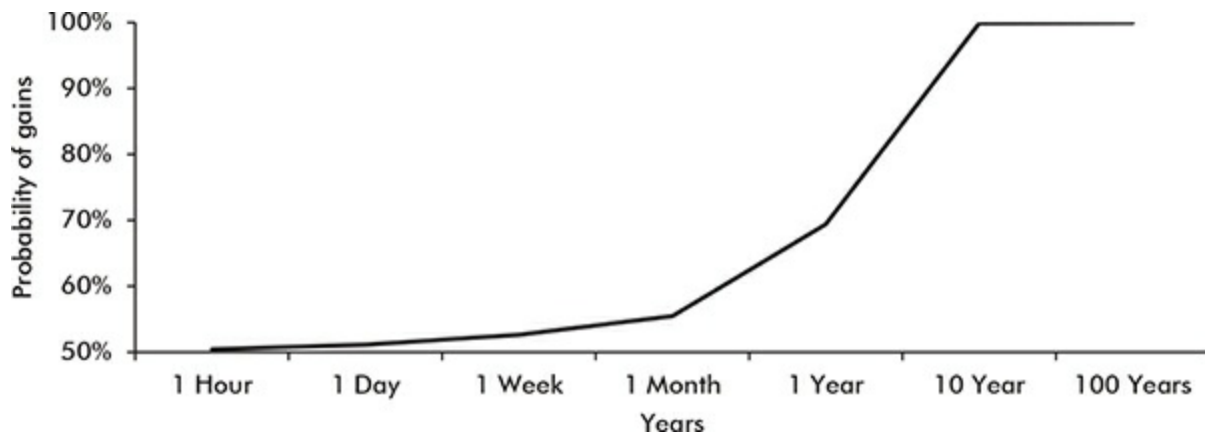


Exhibit 15: Probability of gains from equity investing in India (Sensex) increases disproportionately with increase in holding horizons (This study is for the thirty-year period from March 1987 to March 2017.)



Source: Bloomberg, Ambit Capital

Note: This chart has been inspired by similar work done by Michael Mauboussin in the context of the US stock market.

The power of compounding: Holding a portfolio of stock for ten years or more allows the power of compounding to play out its magic. Over the longer term, the portfolio comes to be dominated by the winning stocks whilst losing stocks keep declining to eventually become inconsequential. Thus, the positive contribution of the winners disproportionately outweighs the negative contribution of losers to eventually help the portfolio compound handsomely. We will illustrate the point here using simple mathematics. Let's consider a hypothetical portfolio that consists of only two stocks. One of these stocks, A, grows at 26 per cent per annum whilst the other, say stock B, declines at the same rate, i.e. at 26 per cent per annum. Overall, not only do we assume a 50-50 strike rate, we also assume symmetry around the magnitude of positive and negative returns generated by the winner and the loser respectively.

In the exhibit below, we track the progress of this portfolio over a ten-year holding horizon. As time progresses, stock B declines to irrelevance while the portfolio value starts converging to the value of holding in stock A. Even